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www.aib-axysafrica.com
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NCBA

NCBA Kenya FY'2025 Earnings Note

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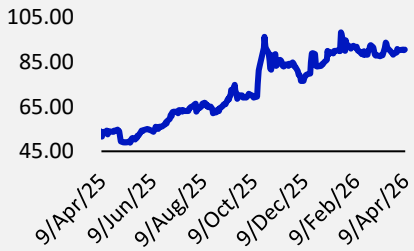
P.O. Box 43676-00100 Nairobi, Kenya | E: info@aib-axysafrica.com W: aib-axysafrica.com | DL: 0711047000, T: +254-20-7602550

NCBA FY'25 Earnings Note

10th March, 2026

Ticker Information	
NSE Code:	NCBA
Issued Shares (Bn):	1.65
52-week high:	KES 100.00
52-week low:	KES 28.50

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	3.1%	1.7%	31.2%	75.7%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	**KES 90.50**	**KES 98.25**

Summary

- NCBA Group posted a 7.0% y/y growth in net earnings in FY'2025 to KES 23.39 Bn, supported by strong expansion in funded income despite elevated cost pressures. The performance was chiefly buoyed by a 27.7% y/y growth in net interest income, which came in at KES 44.08 Bn, underpinned by improved funding efficiencies. We observe that the main driver of this growth was a significant 41.6% y/y decline in interest expense to KES 24.05 Bn, reflecting prudent deposit pricing in a relatively accommodative interest rate environment. **The Board recommended a dividend of KES 7.10 per share, representing a 29.1% y/y increase, translating to a payout ratio of 50.0%, up from 41.4% in FY'2024, signaling sustained confidence in earnings resilience and capital adequacy.**

Key Highlights

- **Earnings Mix**: Interest income softened 10.0% y/y to KES 68.13 Bn, driven by a 14.6% y/y decline in income from loans and advances amid subdued credit uptake and a softer interest rate environment, alongside a slight decline in returns from government securities as yields trended downward. Albeit this, the Group capitalized on the prevailing rate environment through active liability repricing, with interest expense declining 41.6% y/y to KES 24.05 Bn, supporting a 27.7% y/y growth in net interest income to KES 44.07 Bn. On the other hand, non-funded income grew modestly by 3.8% y/y to KES 29.25 Bn, supported by higher fees and commissions, although partly weighed down by an 18.7% y/y decline in foreign exchange trading income. Overall, we observe that earnings growth was largely driven by margin expansion in line with management's focus on optimizing funding costs even as asset yields softened and non-funded income growth remained subdued.
- **Asset Quality**: The stock of Non-Performing Loans decreased 3.6% to KES 35.82 Bn, which resulted in an improved NPL ratio of 10.8%, below the industry median. At the same time, the bank increased provisioning by 23.6% to KES 14.00 Bn, resulting in an improved coverage ratio. Additionally, the cost of risk increased by 0.7% points to 2.5%.

Operating Efficiency

Operating efficiency weakened during the period, with the cost-to-income ratio increasing to 62.1% from 60.0% in FY'2024, as operating expenses grew by 21.0% y/y to KES 45.53 Bn, outpacing the 17.0% y/y growth in operating income. The increase in costs was largely driven by a 46.3% y/y rise in loan loss provisions, alongside higher staff and operational expenses. Notably, core efficiency remained stable, with cost-to-income ratio excluding provisions marginally improving to 51.2% from 51.3%, indicating that the deterioration was mainly credit-driven rather than structural. Overall, elevated provisioning and cost pressures continue to weigh on efficiency in the near term.

Balance Sheet Dynamics

Total assets grew by 7.5% y/y to KES 716.05 Bn, supported by a 5.0% y/y expansion in the loan book to KES 317.16 Bn, although credit growth remained relatively measured amid subdued borrowing appetite. We observe that the Group maintained a balanced asset allocation, with holdings in government securities increasing by 4.6% y/y to KES 189.10 Bn, reflecting a preference for relatively lower-risk assets in the prevailing environment. On the liabilities side, customer deposits grew by 5.9% y/y to KES 531.87 Bn, underpinned by continued optimization of the funding mix towards lower-cost deposits, which supported the decline in cost of funds. Notably, the loan-to-deposit ratio eased to 59.6% from 60.2%, signaling a cautious lending stance. Capital buffers strengthened, with shareholders' funds increasing by 16.2% y/y to KES 127.43 Bn, while liquidity improved, with the liquidity ratio rising to 60.7%, positioning the Group with sufficient headroom to support future asset growth.

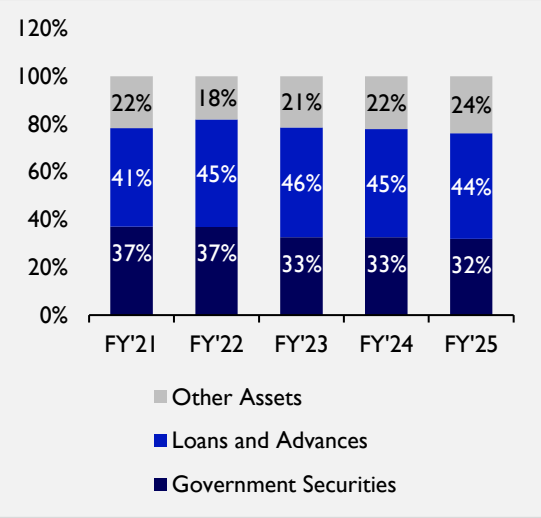
Outlook

Looking ahead, we expect NCBA Group's performance to be shaped by a combination of margin normalization, evolving credit dynamics and continued strategic execution. While the decline in funding costs supported earnings in FY'2025, the pace of margin expansion is likely to moderate as the Central Bank of Kenya maintains the policy rate at 8.75%, signaling a more cautious monetary stance. Importantly, we view the Group's strategic acquisition with Nedbank as a key growth catalyst, expected to enhance corporate and investment banking capabilities, strengthen its capital position, and unlock regional expansion opportunities through cross-border synergies. In addition, management continues to emphasize scaling high-growth segments, particularly digital lending, SME, consumer banking, and non-banking subsidiaries, which are expected to drive revenue diversification and support earnings resilience. Overall, while near-term performance may remain constrained by credit and cost pressures, NCBA remains well-positioned to deliver sustainable growth, supported by a strong balance sheet, diversified business model and clear strategic growth levers.

Recommendation

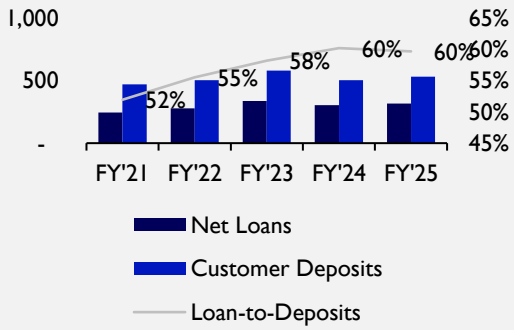
- **We maintain a BUY recommendation on NCBA,** on the back of strong margin-driven earnings growth, a resilient balance sheet and clear strategic growth levers, including digital lending, regional diversification and the anticipated benefits from the Nedbank partnership. At the current market price, the stock is trading at P/E ratio of 5.7x and a P/B ratio of 1.1x. Our one-year target price for NCBA currently stands at KES 98.25- representing a c 9.2% upside potential from current levels.

Chart 2: Asset Composition



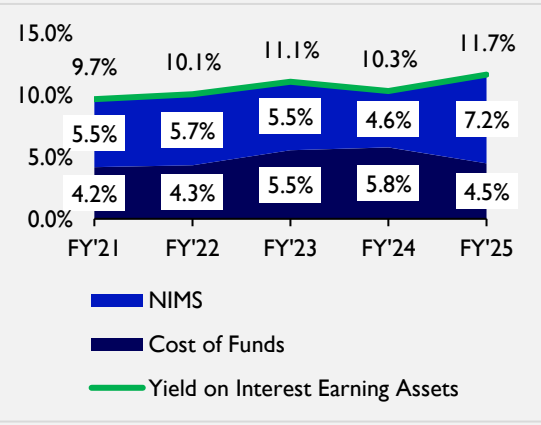
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Expanding Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y Change
Net Interest Income	27.04	30.68	34.60	34.51	44.08	▲ 27.7%
Net non-Interest Income	22.11	30.26	29.08	28.18	29.25	▲ 3.8%
Total Operating income	49.15	60.94	63.68	62.70	73.33	▲ 17.0%
Provision for Impairment	(12.72)	(13.06)	(9.16)	(5.48)	(8.02)	▲ 46.3%
Total Operating expenses	(33.45)	(37.92)	(38.24)	(37.64)	(45.53)	▲ 21.0%
Profit before tax	15.03	22.49	25.48	25.14	27.89	▲ 10.9%
Profit after tax	10.22	13.78	21.46	21.87	23.39	▲ 7.0%
Annualized EPS	6.21	8.36	13.02	13.27	14.20	▲ 7.0%
DPS	3.00	4.25	4.75	5.50	7.10	▲ 29.1%

Balance Sheet (KES Bn)	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y Change
Government Securities	218.81	228.78	239.78	216.99	228.37	▲ 5.2%
Loans and Advances	244.04	278.92	337.02	302.08	317.16	▲ 5.0%
Total Assets	**591.09**	**619.66**	**734.62**	**665.94**	**716.05**	▲ 7.5%
Customer Deposits	469.89	502.68	579.40	502.02	531.87	▲ 5.9%
Total Liabilities	513.10	537.24	637.96	556.23	588.62	▲ 5.8%
Shareholder's Funds	**77.86**	**82.42**	**96.66**	**109.73**	**127.45**	▲ 16.2%

Ratio Analysis	FY'21	FY'22	FY'23	FY'24	FY'25	% y/y Change
Spreads Analysis						
Yield on Assets	9.7%	10.1%	11.1%	10.3%	11.7%	▲ 1.3%
Cost of Funds	4.2%	4.3%	5.5%	5.8%	4.5%	▼ (1.3%)
Net Interest Margin	5.5%	5.7%	5.5%	4.6%	7.2%	▲ 2.6%
ROaE	13.6%	17.2%	24.0%	21.2%	19.7%	▼ (1.5%)
ROaA	1.8%	2.3%	3.2%	3.1%	3.4%	▲ 0.3%
Profit Margin	20.8%	22.6%	33.7%	34.9%	31.9%	▼ (3.0%)
Operating Efficiency						
Cost to Income Less LLP	42.2%	40.8%	45.7%	51.3%	51.2%	▼ (0.1%)
Cost to Assets Less LLP	3.5%	4.0%	4.0%	4.8%	5.2%	▲ 0.4%
Loan to Deposit Ratio	51.9%	55.5%	58.2%	60.2%	59.6%	▼ (0.5%)
Asset Quality						
Gross NPL Ratio	16.5%	13.3%	12.6%	11.9%	10.8%	▼ (1.0%)
NPL Coverage	73.6%	58.5%	55.2%	59.2%	71.6%	▲ 12.4%
Cost of Risk	5.2%	4.7%	2.7%	1.8%	2.5%	▲ 0.7%
Capital Adequacy						
Core Capital/TRWA	19.0%	18.4%	18.0%	21.2%	21.9%	▲ 0.7%
Total Capital /TRWA	19.1%	18.4%	18.0%	21.2%	21.9%	▲ 0.7%
Liquidity	61.7%	55.1%	52.9%	54.1%	60.7%	▲ 6.6%

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CONTACTS

Research Desk

Email: research@aib-axysafrica.com

Equities Dealing

Email: trading@aib-axysafrica.com

Bond Dealing

Email: trading@aib-axysafrica.com

Global Markets &Offshore Products

Email: invest@aib- axysafrica.com

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